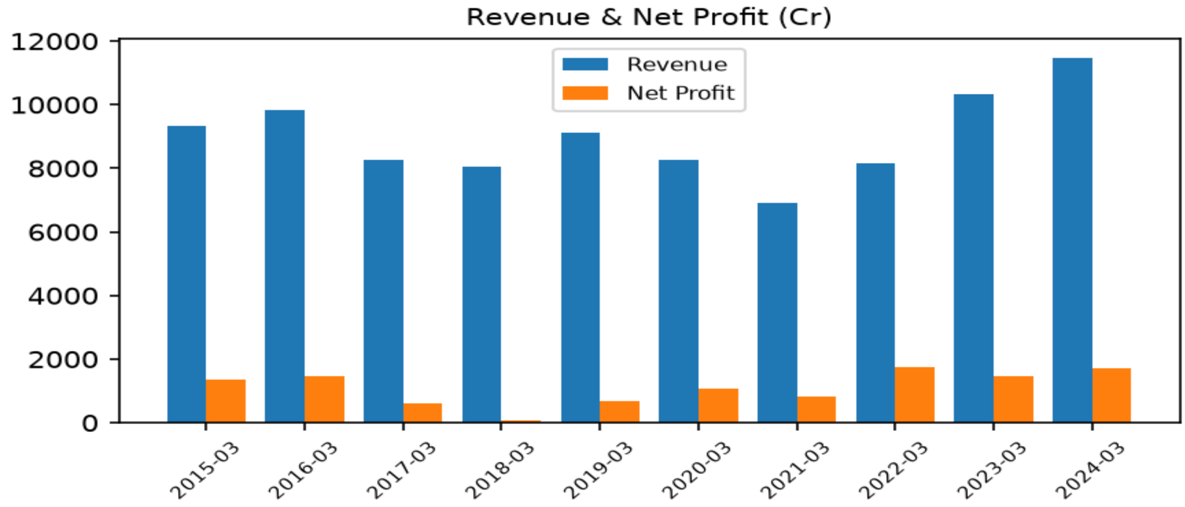
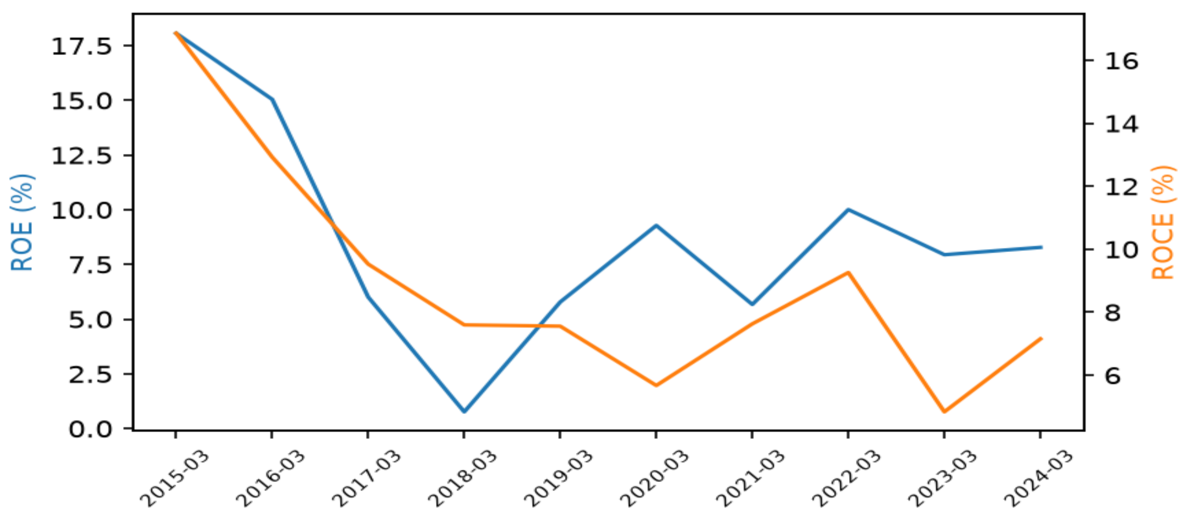
JSW Energy Ltd (JSWENERGY)

ROE 8.3%	**ROCE** 7.2%	**Net Profit Margin** 15.0%
D/E 1.5	**Revenue CAGR 5yr** 4.7%	**Free Cash Flow (Cr)** -1963.0

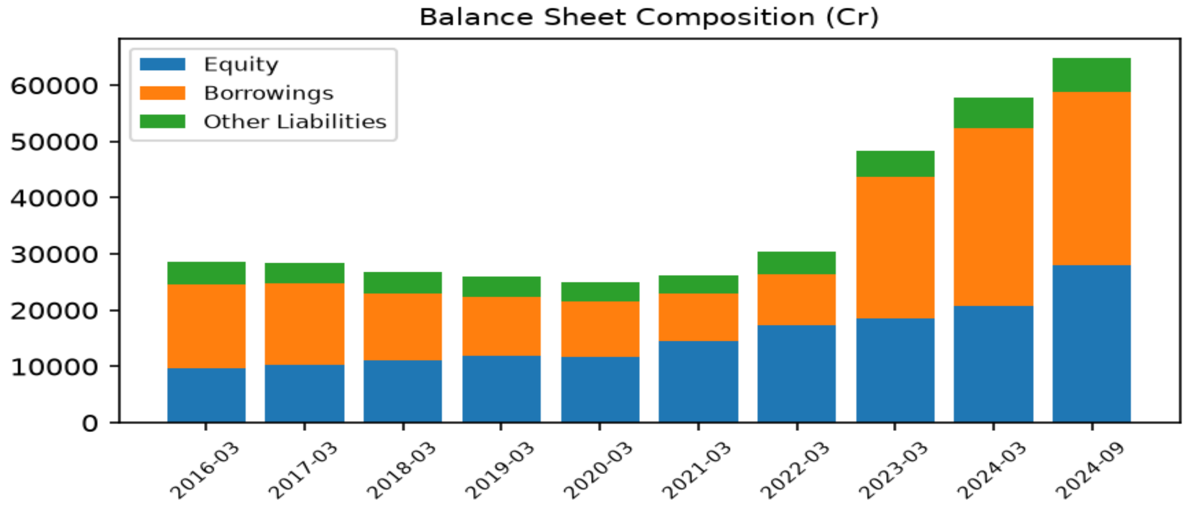
Revenue & Net Profit (10yr)



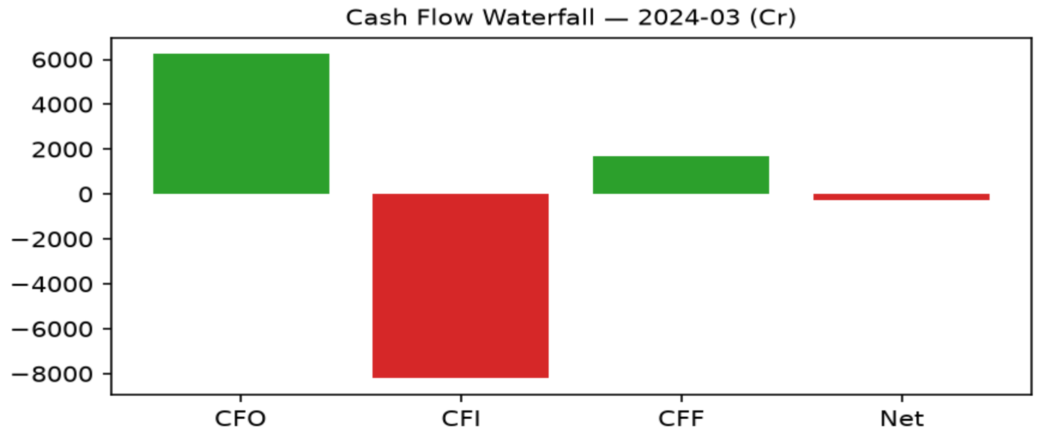
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Mixed